

Japan Quant Strategy

NKY rallies – Sign that worst is over? AI semiconductors a long way off from recapturing their leading role

Putting the brakes on one-sided pessimism

The Nikkei Average rebounded sharply to 66,000 today (July 21). The market continued to show weakness over the latter half of last week, particularly in AI semiconductor-related stocks, and investor sentiment had become even more cautious. However, the recent pullback was not accompanied by a downward revision in earnings expectations but rather appears to have been largely influenced by a shift in the AI-related narrative and position adjustments by momentum traders.

Given that Japanese stock sentiment has fallen to around zero and the TOPIX's NTM EPS has not collapsed, additional factors are becoming necessary for pessimism to spread further. Meanwhile, sentiment toward South Korean stocks continues to deteriorate significantly. Japanese stocks, mainly memory semiconductor stocks, are still susceptible to global AI-related narratives. **While earnings momentum specific to Japanese stocks is firm, the sustainability of market rebounds remains highly dependent on external conditions at this stage.**

Will CTA stop-loss selling fail to spread?

Last week, CTAs triggered stop-loss selling of Nikkei futures, intensifying beta-selling pressure via the futures market. However, with a rebound in AI-semiconductor-related stocks, Nikkei 225 futures recovered to the 66,000 level today. It appears that CTA stop-loss selling has temporarily stopped. If the index falls below 64,600 again, there remains a risk that CTA position unwinding could resume. However, we believe that the considerable portion of the long positions CTAs have built up since May has already been unwound.

As for KOSPI 200 futures, stop-loss selling was triggered when the index fell below 1,100, but we believe the long positions accumulated since March have been largely unwound. Barring any additional shocks that could trigger another sharp decline in the Nikkei Average or the KOSPI 200, the pressure to sell futures, starting with CTAs, is now passing its worst-case scenario.

Global Quantitative and Derivatives Strategy

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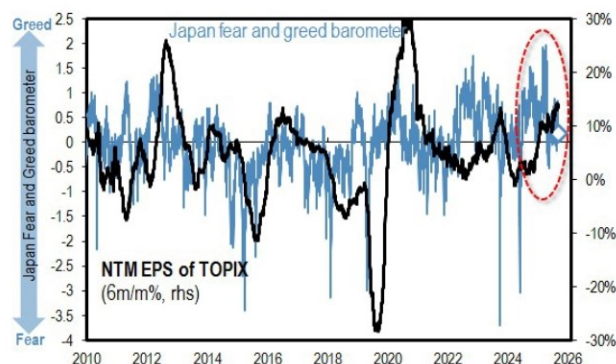
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Figure 1: Japanese stock sentiment and NTM EPS rate of change – Nervous sentiment continues, but earnings expectations remain intact



Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Figure 2: Japanese stock sentiment and South Korean stock sentiment – Is there any ongoing instability in semiconductor stocks during Asian trading hours?



Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Figure 3: CTA's Nikkei futures positions – After briefly dipping into the 64,000 range, the NKY rebounded on its own and recovered to the 66,000 level



Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Figure 4: CTA's KOSPI 200 futures position – Focus is on whether it can recover to 1,100, but will CTAs' forced unwinding take a breather?



Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

High Beta/High Momentum buyback pressure is still limited

That said, futures were not the main drivers of July's sell-off. In the cash equity market, the decline was particularly pronounced among High-Beta/High-Momentum stocks, especially those in the semiconductor and AI infrastructure-related sectors. Looking at the L/S performance of High Momentum/High Beta and Low Momentum/Low Beta strategies in Japan and South Korea, we are currently seeing signs of a potential bottoming out. On the other hand, the recovery in excess returns for the "High Momentum/High Beta" strategy relative to the market has been slow. This shows that while short covering on the Low Beta/Low Momentum side is nearing completion, the movement to actively buy back the sold-off High Beta/High Momentum stocks has yet to gain momentum. **The market appears to have begun to expect a pause in the sell-off (AI-related), but ahead of key earnings reports from major global AI-related companies it remains in a wait-and-see mode before it can shift to a bullish stance.**

Figure 5: Japanese & South Korean stocks – High Momentum/High Beta vs. Low Momentum /Low Beta L/S performance

Universe consists of the TOPIX 500 and the KOSPI 200. At the end of each month, the top and bottom 30% of stocks by stock price return (12-month vs. 1-month) and beta are selected.



Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Figure 6: Japanese & South Korean stocks – High Momentum/High Beta vs. market excess returns

Universe consists of the TOPIX 500 and the KOSPI 200. At the end of each month, the top and bottom 30% of stocks by stock price return (12-month vs. 1-month) and beta are selected. Excess returns relative to each market index are shown.



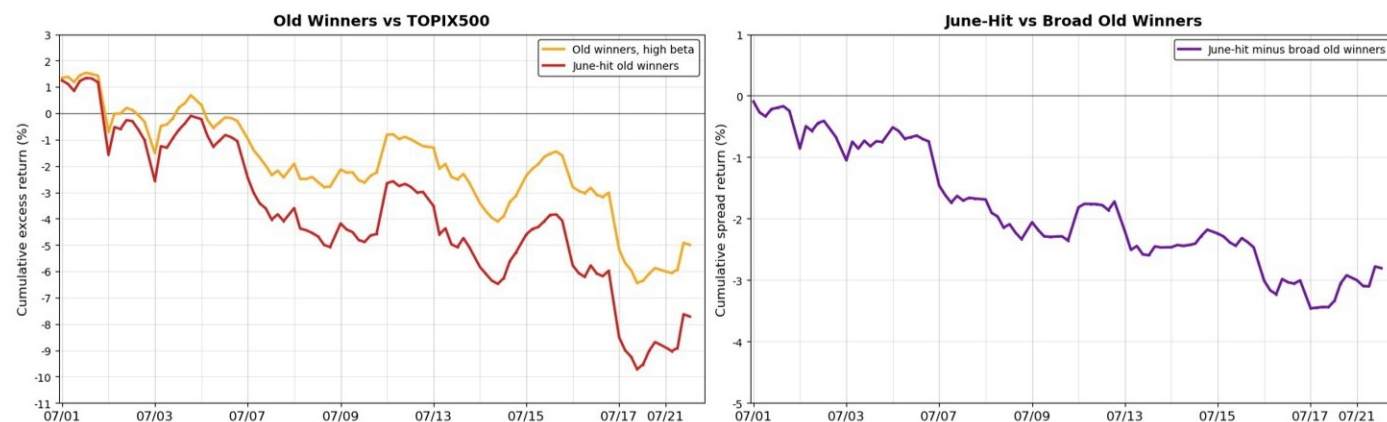
Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Therefore, the current focus is on the extent of restoration of Old Winners (defined as High Beta/High Momentum stocks as measured at the end of June) that suffered a significant decline in June. Looking at cumulative excess returns for July, both the Old Winners overall and the “June-hit Old Winners” (i.e., those Old Winners whose drawdowns widened and momentum collapsed in June) have rebounded from their lows around July 17. However, the “June-hit Old Winners” are still underperforming the Old Winners as a whole, **so we cannot conclude that the group of stocks that was heavily sold off in June has regained their leading role.** While a technical rebound is evident, there still appears to be some way to go before the market returns to the buying interest seen before the correction.

Figure 7: Performance details of the expanded High Momentum/High Beta stock group that has begun to lose momentum - 1/1

Universe uses the TOPIX 500. As of the end of June, we extracted stocks with the highest stock returns (12-month - 1-month basis) and high beta. We used the intersection of the top 30% of stocks meeting each criterion. We defined this group as “Old Winners,” and further defined the top 50% of stocks in this group that experienced the largest declines from their June peak through June 30 as “June Hit, Old Winners.”

TOPIX500 July 2026: Old Winners Reversal



Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

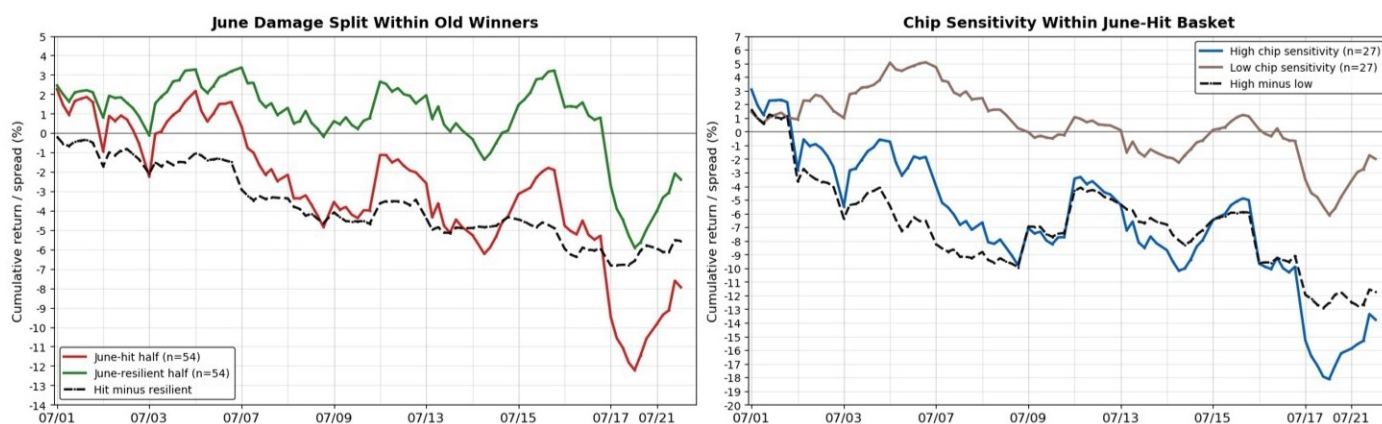
This June-hit stock group (= the top 50% of the drawdowns) remains weak compared with the stocks with smaller drawdowns in June (= less than 50%, June-resilient). In particular, the

group of “high chip sensitivity” stocks, which are highly sensitive to AI (i.e., have a high SOX beta), continues to lag significantly behind the group of stocks with low sensitivity. Although there are signs that the market has bottomed out, it is still difficult to say that stocks with strong ties to semiconductors and AI have returned to their role as market drivers. **The recovery of the “Old Winners” that faltered in June appears to have begun, but it may still be one step away from confirming a bottom.**

Figure 8: Performance details of the expanded High Momentum/High Beta stock group that has begun to lose momentum - 2/2

The figure on the left shows the performance of the “Old Winners” overall, divided into two groups: the half with the largest price declines in June (“June-hit”) and the half with the smallest declines (“June-resilient”). The figure on the right further divides the “June-hit” group into high and low categories based on residual SOX beta, namely SOX sensitivity after adjusting for TOPIX beta. Stocks with “High Chip Sensitivity” are considered to be “June-hit” stocks with strong ties to semiconductors and AI.

TOPIX500 July 2026: What Broke Inside Old Winners



Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Expanding the scope of stock selection in the AI-semiconductor sector

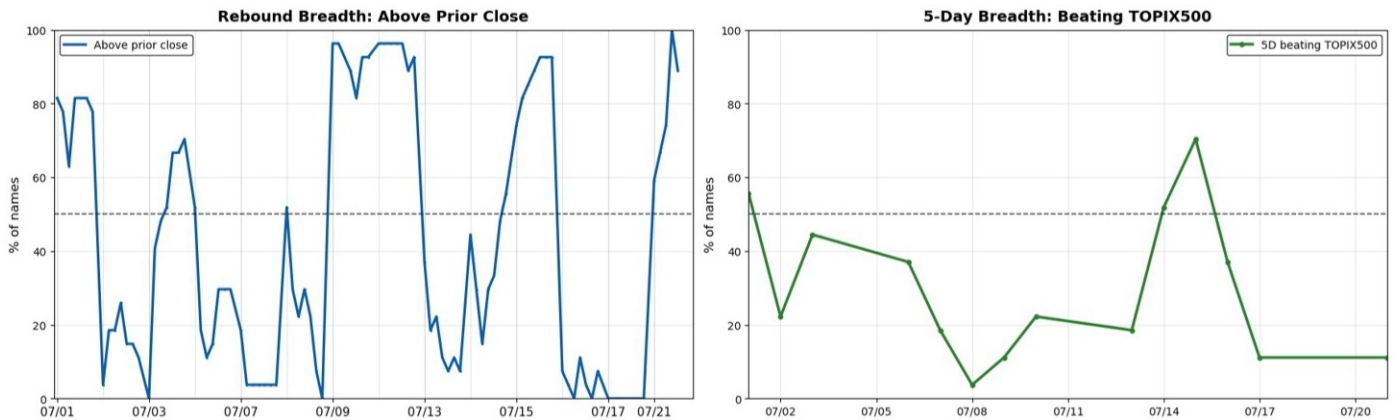
To provide additional context regarding the group of “June-hit” stocks mentioned earlier, which are highly sensitive to semiconductor and AI trends, we believe their weakness is running its course. However, there is still not enough evidence to confirm a strong reversal. The percentage of stocks trading above the previous day’s closing price rose significantly through July 21, indicating that short-term buying is no longer limited to just a few stocks. On the other hand, the share of stocks that outperformed the TOPIX 500 over the past five days remains low, and the breadth of outperformance relative to the market on a day-to-day basis is still limited. At present, the main change is the receding of downside concerns, and it seems that it will take additional days to transition to a full-fledged outperforming phase.

There is also improvement in selling pressure. The percentage of stocks hitting new intraday lows jumped sharply in mid-July but has since declined, indicating a decrease in the number of stocks hitting new lows. However, the number of stocks supporting the recovery of the entire basket remains limited. Looking at the cumulative returns of the equally-weighted basket, key stocks such as Ibiden (4062.JT), Kioxia (285A.JT), and Yaskawa Electric (6506.JT) continue to weigh on the index. Although selling pressure is gradually peaking out, the group of stocks leading the rebound remains small. In order for High Beta/High Momentum stocks to return to center stage, there needs to be a clear broadening of investor interest among the oversold stocks from this point forward.

Figure 9: Performance details of AI-Sensitive Stock Groups - 1/2

The analysis focuses on the group of stocks within the TOPIX 500 with high residual SOX beta (see Figure 8). In other words, the basket of High Beta/High Momentum stocks, which have experienced notable drawdowns since June, that exhibit high sensitivity to AI. Rebound Breadth is calculated on the 1-hour chart and represents the percentage of stocks in the sample that are trading above the previous day's closing price. A figure exceeding 50% indicates that more than half of the stocks rebounded compared to the previous day. 5-Day Breadth is the percentage of stocks in the sample whose returns over the past five days have outperformed the TOPIX 500. A figure exceeding 50% indicates that the basket as a whole is broadly outperforming the TOPIX.

TOPIX500 July 2026: Rebound Breadth

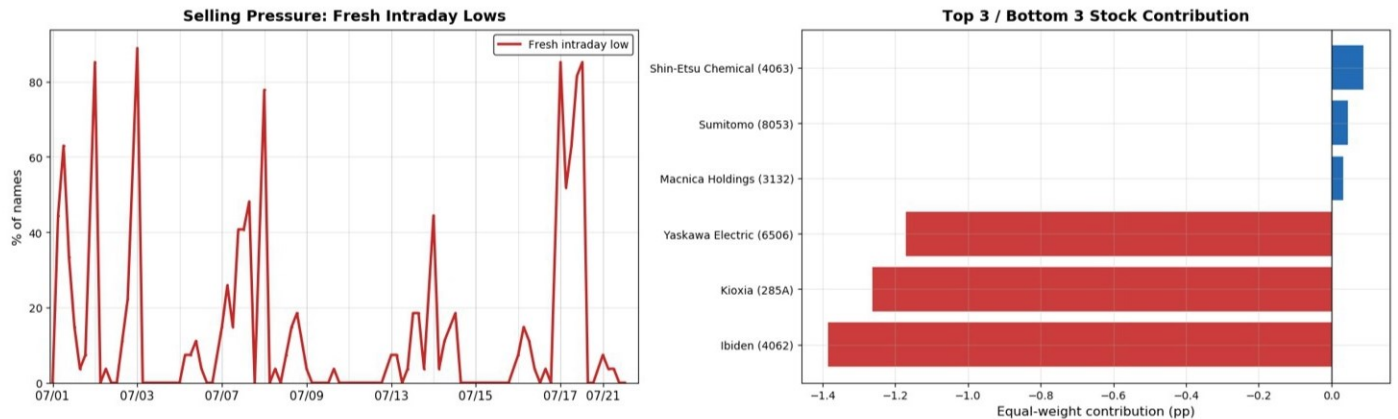


Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

Figure 10: Performance details for the group of stocks with high AI sensitivity - 2/2

The analysis focuses on the group of stocks within the TOPIX 500 with high residual SOX beta (see Figure 8). In other words, the basket of High Beta/High Momentum stocks, which have experienced notable drawdowns since June, that exhibit high sensitivity to AI. Selling Pressure is the percentage of the target stocks that have a new low price in Japan and China at that time. A lower value suggests that selling pressure may be easing. Top 3 / Bottom 3 Stock Contribution refers to the contributions of the top three and bottom three stocks, respectively, to the cumulative return of the target basket, weighted equally.

TOPIX500 July 2026: Selling Pressure and Stock Impact



Source: Bloomberg Finance L.P., J.P. Morgan Global Markets Strategy

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